SASINI PLC

RIVAAN CENTRE, OFF WAIYAKI WAY, BROOKSIDE GROOVE, MUGUGA GREEN P.O. BOX 30151-00100, NAIROBI

(A Member of The Sameer Group)

ANNOUNCEMENT OF RESULTS FOR THE YEAR ENDED 30 SEPTEMBER 2020 (Audited)

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

	Group 30.09.2020 Ksh '000	Group 30.09.2019 Ksh '000	Company 30.09.2020 Ksh '000	Company 30.09.2019 Ksh '000
Revenue	4,145,408	2,794,830	1,363,277	988,016
(Losses)/ Gains arising from changes in fair value of biological assets less cost to sell	(47,375)	(5,843)	78,980	(64,596)
Results from operating activities	34,324	(392,109)	97,719	(12,856)
Finance Income	24,462	51,736	19,194	26,366
Finance cost	(17,294)	(20,926)	-15,553	(17,368)
Profit /(Loss) before tax	41,492	(361,299)	101,360	(3,858)
Tax (charge)/credit	(28,887)	23,562	(43,648)	56,620
Profit /(Loss) for the year	12,605	(337,737)	57,712	52,762
Other Comprehensive Income;				
Revaluation gain net of tax	-	2,181,675	-	1,529,028
Remeasurement of post employment benefits net of tax	58,469	16,202	2,696	465
Impact of change in tax rate and revaluation	93,305	-	31,801	-
Impact of change in tax rate on post employment benefits reserve	3,631		408	
Total Comprehensive Income:	168,010	1,860,140	92,617	1,582,255
Profit / (Loss) attributable to:				
Non-controlling interest	(3,664)	(20,308)	-	-
Owners of parent	16,269	(317,429)	57,712	52,762
	12,605	(337,737)	57,712	52,762
Profit / (Losses) arising from operating activities.	74,258	(314,197)	(1,523)	97,979
(Losses) /Gains arising from changes in fair value in biological assets after tax.	(57,989)	(3,232)	59,235	(45,217)
	16,269	(317,429)	57,712	52,762
Earning / (Loss) per share (Kshs) on operating activities	0.33	(1.38)	(0.01)	0.43
(Loss)/Gain per share (Kshs) on biological assets	(0.25)	(0.01)	0.26	(0.20)
Earning /(Loss)per share (Kshs)	0.07	(1.39)	0.25	0.23
Issued and fully paid shares of Kshs 1 each	228,055	228,055	228,055	228,055

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share Capital Ksh '000	Capital Reserves Ksh '000	Revaluation Reserves Ksh '000	Defined Benefit Reserves Ksh '000	Biological Assets Fair Value Ksh '000	Retained Earnings Ksh '000	Proposed Dividends Ksh '000	Non Controlling Interest Ksh '000	Total Ksh '000
At 1 October 2018	228,055	98,530	7,627,565	34,571	198,602	2,692,429	114,028	294,441	11,288,221
Total comprehensive income for the period									
Loss for the period	-	-	-	-	-	(317,429)	-	(20,308)	(337,737)
Fair value gain on biological assets after tax	-	-	-	-	(3,232)	3,232	-	-	-
Revaluation surplus on property, plant and equipment net of tax			2,115,247	-	-	-		66,428	2,181,675
Remeasurement of post employment benefits net of tax		-	-	16,268	-	-		(66)	16,202
Total comprehensive income for the period	-	-	2,115,247	16,268	(3,232)	(314,197)	-	46,054	1,860,140
Transactions with owners of the company recorded directly in equity									
Dividend paid to minority interest	-	-	-	-	-	-	-	(35,250)	(35,250)
Final 2018 dividend paid	-	-	-	-	-	-	(114,028)	-	(114,028)
Interim 2019 dividend paid	-	-	-	-	-	(114,028)	-	-	(114,028)
Total distribution to owners of the company	-	-	-	-	-	(114,028)	(114,028)	(35,250)	(263,306)
At 30 September 2019	228,055	98,530	9,742,812	50,839	195,370	2,264,204	-	305,245	12,885,055
At 1 October 2019	228,055	98,530	9,742,812	50,839	195,370	2,264,204	-	305,245	12,885,055
Total comprehensive income for the period									
Profit for the period	-	-	-	-	-	16,269	-	(3,664)	12,605
Fair value gain on biological assets after tax	-	-	-	-	(35,969)	35,969	-	-	-
Impact of change in tax rate	-	-	92,956	3,631	-	-	-	2,343	98,930
Revaluation adustment	-	-	(1,994)	-	-	-	-	-	(1,994)
Remeasurement of post employment benefits net of tax		-		58,255	-	-	-	214	58,469
Total comprehensive income for the period	-	-	90,962	61,886	(35,969)	52,238	-	(1,107)	168,010
Transactions with owners of the company recorded directly in equity									
Interim dividend 2020	-	-	-	-	-	-	-	-	-
Total distribution to owners of the company	-	-	-	-	-	-	-	-	-
At 30 September 2020	228,055	98,530	9,833,774	112,725	159,401	2,316,442	-	304,138	13,053,065

COMPANY STATEMENT OF CHANGES IN EQUITY

	Share Capital Ksh '000	Capital Reserves Ksh '000	Revaluation Reserves Ksh '000	Defined Benefit Reserves Ksh '000	Biological Assets Fair Value Ksh '000	Retained Earnings Ksh '000	Proposed Dividends Ksh '000	Non Controlling Interest Ksh '000	Total Ksh '000
At 1 October 2018	228,055	40,594	5,517,443	5,249	118,396	1,140,788	114,028	-	7,164,553
Total comprehensive income for the period									
Profit for the period	-	-	-	-	-	52,762	-	-	52,762
Fair value gain on biological assets after tax	-	-	-	-	(45,217)	45,217	-	-	-
Revaluation surplus on property, plant and equipment net of tax			1,529,028	-	-	-	-	-	1,529,028
Remeasurement of post employment benefits net of tax		-	-	465	-	-	-	-	465
Total comprehensive income for the period	-	-	1,529,028	465	(45,217)	97,979	-	-	1,582,255
Transactions with owners of the company recorded directly in equity									
Final 2018 dividend paid	-	-	-	-	-	-	(114,028)	-	(114,028)
Interim 2019 dividend paid	-	-	-	-	-	(114,028)	-	-	(114,028)
Total distribution to owners of the company	-	-	-	-	-	(114,028)	(114,028)	-	(228,056)
At 30 September 2019	228,055	40,594	7,046,471	5,714	73,179	1,124,739	-	-	8,518,752
At 1 October 2019	228,055	40,594	7,046,471	5,714	73,179	1,124,739	-	-	8,518,752
Total comprehensive income for the period									
Profit for the period	-	-	-	-	-	57,712	-	-	57,712
Fair value gain on biological assets after tax	-	-	-	-	59,235	(59,235)	-	-	-
Impact of change in tax rate	-	-	31,801	408	-	-	-	-	32,209
Remeasurement of post employment benefits net of tax		-	-	2,696	-	-	-	-	2,696
Total comprehensive income for the period	-	-	31,801	3,104	59,235	(1,523)	-	-	92,617
Transactions with owners of the company recorded directly in equity									
Interim dividend 2020	-	-	-	-	-	-	-	-	-
Total distribution to owners of the company	-	-	-	-	-	-	-	-	-
At 30 September 2020	228,055	40,594	7,078,272	8,818	132,414	1,123,216	-	-	8,611,369

CONSOLIDATED STATEMENT OF FINANCIAL POSITION.

	Group 30.09.2020 Ksh '000	Group 30.09.2019 Ksh '000	Company 30.09.2020 Ksh '000	Company 30.09.2019 Ksh '000
ASSETS				
NON-CURRENT ASSETS				
Property, plant and equipment	11,386,598	11,455,879	7,395,188	7,450,772
Capital Work-in-progress	127,243	69,103	42,602	37,488
Intangible Assets	18,944	12,192	9,598	11,343
Biological Assets	1,012,880	1,211,030	129,741	120,456
Prepaid leases - leasehold land	-	10,408		
Investments in Subsidiary Companies	-	-	589,897	145,797
Right of use Asset	41,314		31,007	-
Deferred tax asset	7,582	8,865	-	-
	12,594,561	12,787,477	8,198,033	7,771,856
CURRENT ASSETS				
Inventories	567,663	600,789	81,197	197,073
Biological Assets	196,819	112,101	168,207	90,512
Trade and Other receivables	531,110	450,610	188,421	89,737
Amount due from related companies	-	1,000	242,014	777,772
Tax recoverable	93,913	93,118	36,332	35,994
Cash and Bank balances	593,689	429,264	317,603	141,919
	1,983,194	1,886,882	1,031,774	1,332,907
TOTAL ASSETS	14,577,755	14,674,359	9,229,807	9,104,763
EQUITY AND LIABILITIES				
Capital and reserves				
Share Capital	228,055	228,055	228,055	228,055
Non - Distributable Reserves	10,204,430	10,087,551	7,260,098	7,165,958
Distributable Reserves	2,316,442	2,264,204	1,123,216	1,124,739
	12,748,927	12,579,810	8,611,369	8,518,752
Non controlling Interest	304,138	305,245		
Total equity	13,053,065	12,885,055	8,611,369	8,518,752
Non- current liabilities				
Deferred tax liability	964,177	1,036,173	415,638	408,149
Lease liability	17,698	-	17,698	
Post employment benefits	197,101	309,534	20,055	26,893
	1,178,976	1,345,707	453,391	435,042
Current liabilities				
Lease liability	15,953		15,953	
Post employment benefits	12,068	24,746	979	5,720
Borrowings	-	114,488	-	114,488
Amounts due to related companies	-	-	12,913	
Trade and Other Payables	317,693	296,808	135,202	30,761
Tax payable	-	7,556	-	-
	345,714	443,597	165,047	150,969
TOTAL EQUITY AND LIABILITIES	14,577,755	14,674,359	9,229,807	9,104,763

CONSOLIDATED CASHFLOW STATEMENT

	Group 30.09.2020	Group 30.09.2019	Company 30.09.2020	Company 30.09.2019
OPERATING ACTIVITIES				
Cash Flow Generated from /(used in) Operations	616,288	(340,824)	348,558	(64,840)
Gratuity paid	(87,428)	(28,608)	(12,536)	(2,728)
Income paid on Lease liability	(4,658)	-	(4,658)	-
Income taxes paid	(27,845)	(30,223)	(5,287)	(6,722)
Net cash flows generated from /(used in) operating activities	496,357	(399,655)	326,077	(74,290)
INVESTING ACTIVITIES				
Purchase of Property, plant and equipment	(99,919)	(138,007)	(3,418)	(8,905)
Purchase of Intangible Assets	(1,660)	(582)	(1,660)	(264)
Capital Work in progress	(94,964)	(54,201)	(5,114)	(15,702)
Interest received	14,100	49,075	15,880	24,229
Dividend received from Subsidiary company	-	-	-	199,750
Proceeds on sale of property, plant and equipment	6,770	7,908	178	823
Net cash flow (used in)/ generated from investing activities	(175,673)	(135,807)	5,866	199,931
FINANCING ACTIVITIES				
Interest paid	(9,667)	(12,564)	(9,667)	(12,564)
Payment of lease liability	(12,660)	-	(12,660)	-
Borrowing received	595,350	518,155	595,350	518,155
Borrowing repaid	(729,082)	(408,419)	(729,082)	(408,419)
Dividend paid to Minority holders	-	(35,250)	-	-
Dividend paid on ordinary shares	-	(228,056)	-	(228,056)
Net cash flow used in financing activities	(156,259)	(166,134)	(156,259)	(130,884)
Net increase /(Decrease) in Cash and cash equivalents	164,425	(701,596)	175,684	(5,243)
Cash and cash equivalents at the beginning of the year	429,264	1,135,609	141,919	147,162
Impact of Initial application of IFRS 9	-	(4,749)	-	-
Cash and cash equivalents at the end of the year	593,689	429,264	317,603	141,919

COMMENTS ON THE RESULTS

By order of the Board

Dr James Boyd McFie PhD,FCPA
Chairman

Mr Martin R. Ochieng' MBA,Bsc
Group Managing Director

The above extract is based on the consolidated financial statements of Sasini PLC for the year ended 30th September 2020 as audited by KPMG Kenya

14th January, 2021

COMMENTS ON THE AUDITED RESULTS FOR THE YEAR ENDED 30 SEPTEMBER 2020

The year began on a low note following the challenges experienced in the previous year and was made worse by the operational challenges occasioned by the effects of the COVID 19 pandemic, especially in the first half of the fiscal year. This subsequently improved later in the year with the coffee business registering improved prices despite low production due to weather related disruptions. The tea business saw improved production during the year but its results were dampened by the low-price realization mainly in the auction while the avocado business registered good harvest and improved demand. The macadamia business was however slowed to a halt mainly due to COVID 19 related market closures after the pandemic outbreak in the second quarter of the financial year. The initiation and complete roll out of mechanization in tea harvesting helped the company to tackle the ever-rising cost of production in our tea business. This contributed to the reduction in the administration expenses during the year by 13%. As a result, there was a turnaround in the second half of the year when our automation project in our tea business was fully rolled out.

Despite the challenges, the year recorded a turnover of KShs 4.14 billion compared to KShs 2.79 billion in the previous year representing an increase of 48% in revenue. The cost of sales increased to KShs 3.33 million against prior year's KShs 2.36 billion (a corresponding increase of 41%). The benefits of mechanization coupled with a rigorous focus on cost containment helped us grow our cost of sales slower than our revenue, a desired result that we intend to carry forward with.

The Group therefore posted an overall profit after tax and non-controlling interest (including the changes in value of biological assets) of KShs 12.61 million (prior year KShs 337.74 million loss). This is made up of a profit from operating activities of KShs 74.25 million compared to a loss of KShs 314.19 million in the previous year for the group (124% improvement); Minority interest loss of KShs 3.66 million (prior year loss KShs 20.31 million). The loss from changes in the value of biological assets was KShs 57.98 million (prior year KShs 3.23 million).

Whereas the effects of the COVID 19 pandemic remain a concern, the board and management are confident that we have taken the necessary precautions to safeguard our staff and the interests of the business in 2021 and beyond. We continue to see great results from the mechanization in our tea operations which will bode well for us going forward, and our focus on cost containment remains as strong as ever. We have continued our investments in our new avocado and macadamia business units to help us reduce our reliance on our traditional tea and coffee businesses and these are progressing very well.

DIVIDEND

The Directors do not recommend the payment of a dividend.

By Order of the Board

James Boyd McFie

Dr. James Boyd McFie, PhD FCPA
Chairman

Mr. Martin R. Ochieng', MBA, BSc
Group Managing Director

14th January 2021

NOTICE IS HEREBY GIVEN THAT THE SIXTY-NINTH (69TH) ANNUAL GENERAL MEETING of the Company will be via electronic communication, on **Friday, 5th March 2021 at 11.00 a.m.** to conduct the following business:

Ordinary business

1. To table the proxies and note the presence of a quorum.

2. To read the Notice convening the meeting.

3. To consider and if approved, adopt the Group and Company's audited financial statements for the year ended 30 September 2020, together with the Chairman's, Directors' and Auditors' Reports thereon.

4. To note that the Directors do not recommend payment of a dividend for the year ended 30 September 2020.

5. To approve payment of Director's fee for the year ended 30 September 2020

6. Auditor: To note that Messrs KPMG Kenya continue in office as the Auditor by virtue of Section 721 (2) of the Companies Act, 2015 and to authorise the Directors to fix the Auditor's remuneration for the ensuing financial year.

7. To elect Directors:

   (a) Dr Naushad N Merali, who retires at this meeting in accordance with the provisions of the Company's Articles of Association and Clause 2.5 of the Code of Corporate Governance Practices for Issuers of Securities to the Public 2015. Special notice is hereby given pursuant to Section 287 of the Companies Act, 2015, that notice has been received of the intention to propose the following Resolution as an Ordinary Resolution at the 2020 Annual General meeting: That Dr Naushad N Merali who has attained the age of 70 years, be and is hereby re-elected a Director of the Company until he comes up for retirement by rotation.

   (b) Mrs. Betty Koech, a Director retiring by rotation in accordance with the Company's Articles of Association and being eligible, offers herself for re-election.

   (c) Mrs. Rosemary Munyiri, a Director retiring by rotation in accordance with the Company's Articles of Association and being eligible, offers herself for re-election.

8. In accordance with the provisions of Section 769 of the Companies Act, 2015, the following directors, being members of the Audit, Risk & Compliance Committee of the Board be elected to continue to serve as members of the said Committee:

   (i) Mrs. Betty Koech
   (ii) Mrs. Rosemary Munyiri
   (iii) Mr. Sameer Merali
   (iv) Dr. James McFie

9. To consider any other business for which due notice has been given.

BY ORDER OF THE BOARD

LAWRENCE KIBET, CPS (K)

COMPANY SECRETARY